



UNIYO

University Made for YOU

Printed: 10 Sep 2026

ANSWER KEY

ADDIS ABABA UNIVERSITY

FINAL EXAMINATION

Subject:	Economics
Course:	Econ1011
Year:	2019
Total Questions:	30
Total Marks:	30

■■ CONFIDENTIAL DOCUMENT

This answer key is for authorized users only.
Do not share or distribute this document.

SECTION A: TRUE OR FALSE

8 questions

SECTION A: TRUE OR FALSE (continued)

Q1. ✓ False

Explanation:

False. Scarcity affects ALL societies, rich or poor. Even billionaires face scarcity (limited time). Scarcity means limited resources vs unlimited wants — this is universal.

Q2. ✓ True

Explanation:

True. Economic growth (more resources, better technology) shifts the PPF outward, allowing the economy to produce more of both goods.

Q3. ✓ False

Explanation:

False. In a COMMAND economy, the GOVERNMENT (central planners) determines prices. Market forces determine prices in a MARKET (capitalist) economy.

Q4. ✓ True

Explanation:

True. When price increases, quantity demanded decreases (and vice versa). This inverse relationship creates the downward-sloping demand curve.

Q5. ✓ False

Explanation:

False. HOUSEHOLDS provide FACTORS OF PRODUCTION (labor, land, capital). FIRMS produce goods and services.

Q6. ✓ True

Explanation:

True. GDP is geographic (within borders). GNP is nationality-based (citizens anywhere).

SECTION A: TRUE OR FALSE (continued)

Q7. ✓ False**Explanation:**

False. Inflation is a sustained INCREASE in prices. DEFLATION is a sustained decrease.

Q8. ✓ True**Explanation:**

True. Perfect competition is the only market structure that achieves allocative efficiency ($P = MC$) in long-run equilibrium.

SECTION B: MULTIPLE CHOICE

19 questions

SECTION B: MULTIPLE CHOICE (continued)

Q9. ✓ B) Scarcity**Explanation:**

Scarcity (limited resources vs unlimited wants) is THE fundamental economic problem. All other problems stem from it.

Q10. ✓ C) An efficient production level**Explanation:**

Point A lies ON the PPF curve, meaning all resources are fully and efficiently employed. B (inside) is inefficient, C (outside) is unattainable.

Q11. ✓ B) The value of the next best alternative forgone**Explanation:**

Opportunity cost is the SINGLE NEXT BEST alternative given up — NOT all alternatives (A), NOT money spent (C), NOT production cost (D).

Q12. ✓ B) Market forces of supply and demand**Explanation:**

In capitalism, the "invisible hand" of the market (supply and demand) determines what, how, and for whom to produce.

SECTION B: MULTIPLE CHOICE (continued)**Q13. ✓ C) Demand decreases (shifts left)****Explanation:**

For NORMAL goods, lower income means less demand (curve shifts left). Inferior goods show the opposite (demand increases when income falls).

Q14. ✓ B) 60 units**Explanation:**

Set $Q_d = Q_s$: $100 - 2P = 20 + 2P \rightarrow 80 = 4P \rightarrow P = 20$. Then $Q = 100 - 2(20) = 60$ units.

Q15. ✓ B) Surplus**Explanation:**

Above equilibrium: $Q_s > Q_d$ (producers supply more, consumers demand less) = SURPLUS. Prices will fall to clear surplus.

Q16. ✓ C) Elastic ($PED > 1$)**Explanation:**

$PED = |\% \Delta Q / \% \Delta P| = |20\% / 10\%| = 2.0$. Since $PED > 1$, demand is ELASTIC — consumers are very responsive to price changes.

Q17. ✓ A) One seller, no close substitutes**Explanation:**

Monopoly = ONE seller + NO close substitutes + HIGH barriers to entry. B is perfect competition, C is oligopoly, D is monopolistic competition.

Q18. ✓ B) GDP - Depreciation**Explanation:**

$NDP = GDP - \text{Depreciation}$. Depreciation (capital consumption) is subtracted to get net production.

Q19. ✓ B) Unemployment rate = Unemployed / Labor Force $\times 100$ **Explanation:**

Unemployment rate = $(\text{Unemployed} / \text{Labor Force}) \times 100$. Labor Force = Employed + Unemployed (actively seeking).

SECTION B: MULTIPLE CHOICE (continued)**Q20. ✓ C) Demand-pull inflation****Explanation:**

When AD shifts RIGHT (increases), excess demand pulls prices UP = DEMAND-PULL inflation.

Q21. ✓ B) 1.6**Explanation:**

$\% \Delta Q = (700-500)/500 = 40\%$. $\% \Delta P = (15-20)/20 = -25\%$. $PED = |40\% / -25\%| = 1.6$ (Elastic).

Q22. ✓ B) Consumer sovereignty**Explanation:**

Consumer sovereignty means consumers "vote with money" — their preferences determine what gets produced.

Q23. ✓ C) Fiscal policy**Explanation:**

FISCAL policy = government taxation + spending. MONETARY policy = central bank (money supply, interest rates).

Q24. ✓ A) Central bank (NBE)**Explanation:**

The National Bank of Ethiopia (NBE) controls monetary policy (interest rates, money supply). Ministry of Finance handles fiscal policy.

Q25. ✓ B) Structural unemployment**Explanation:**

STRUCTURAL unemployment = skills mismatch (technology changes). Frictional = job search. Cyclical = recession. Seasonal = seasonal changes.

Q26. ✓ B) 2 units of Y**Explanation:**

MRS = 2 means the consumer will give up 2 units of Y for 1 more unit of X (keeping same satisfaction).

SECTION B: MULTIPLE CHOICE (continued)

Q27. ✓ A) Zero economic profit**Explanation:**

Free entry/exit eliminates economic profit in the long run. Firms earn ZERO economic profit (but still normal profit).

SECTION C: SHORT ANSWER

3 questions

SECTION C: SHORT ANSWER (continued)

Q28. ✓ GDP is geographic (within borders), GNP is nationality (citizens)**Explanation:**

GDP measures production WITHIN a country's borders (regardless of who produces it). GNP measures production by a country's CITIZENS (regardless of where they produce). Example: A Chinese factory in Ethiopia counts in Ethiopia's GDP but China's GNP.

Q29. ✓ Monetary policy (central bank), Fiscal policy (government)**Explanation:**

1. MONETARY POLICY — implemented by the CENTRAL BANK (NBE). Controls money supply and interest rates. 2. FISCAL POLICY — implemented by the GOVERNMENT (Ministry of Finance). Controls taxation and government spending.

Q30. ✓ Mitigation (reduce emissions), Adaptation (cope with impacts)**Explanation:**

MITIGATION = Reducing greenhouse gas emissions (tackling the CAUSE). Examples: reforestation, renewable energy. ADAPTATION = Coping with climate change impacts (dealing with EFFECTS). Examples: drought-resistant crops, water harvesting.

END OF ANSWER KEY

This document contains exam answers.

Please handle responsibly.

UNIYO - University Made for YOU

■ 0923093416 • ■ t.me/challengepr